



FUNDAMENTAL EQUITY ANALYSIS
NYSE: PG | Consumer Staples

The Procter & Gamble Company

A premium-quality dividend compounder facing a near-term margin test and a valuation that leaves only a modest cushion.

REPORT DATE	LATEST REPORTED PERIOD
July 16, 2026	Q3 FY2026 / March 31, 2026
UNDERWRITING STATUS	RESEARCH POSTURE
Current - FY2026 year-end pending	HOLD / WATCHLIST

. Executive view

Verdict: excellent company, only fair stock. At \$151.50, PG trades near 22.0x FY2026 core EPS with a 2.87% dividend yield. The business is unusually resilient; the valuation does not provide a large cushion against slower volume growth or FY2027 cost pressure.

SHARE PRICE	MARKET CAP	FORWARD P/E	DIVIDEND YIELD
\$151.50	\$352.8B	~22.0x	2.87%

Investment conclusion. PG is appropriate for the defensive, dividend-growth sleeve of a retirement portfolio, but it overlaps with PEP and SCHD. At today's price it is better treated as a watchlist name or small starter position. A more attractive entry would combine a 3.1%+ yield with a roughly 20x core P/E.

Decision hinge. Can P&G; protect volume and restore gross margin while absorbing oil, tariff and logistics costs? The second hinge is whether innovation produces measurable market-share gains rather than merely supporting price/mix.

Underwriting caveat. FY2026 year-end results and formal FY2027 guidance are still pending. That upcoming guidance is more important to the stock than the apparent stability of trailing earnings.

Why own it

- Category leadership, daily-use demand and strong retailer relevance.
- Approximately \$15.0 billion of TTM owner earnings and ~20% ROIC.
- Low leverage, exceptional interest coverage and 70 consecutive dividend increases.
- A repeatable productivity, innovation and advertising model.

Why wait for a better entry

- Low-single-digit organic growth and flat nine-month FY2026 volume/mix.
- Currency-neutral core operating margin fell 70 bps in Q3 despite 330 bps of productivity.
- Roughly \$1 billion after-tax FY2027 oil-cost sensitivity if high prices persist.
- A ~22x multiple requires a return to mid-single-digit EPS growth.

1. Investment thesis and portfolio fit

PG is one of the highest-quality consumer-staples franchises in public markets. Daily-use categories, category-leading brands, enormous advertising scale, retailer relevance and a low-capital-intensity model produce steady cash flow and returns on invested capital around 20%.

The stock question is different from the business question. At \$151.50, investors are paying a premium multiple for resilience at a time when the growth evidence is only modest and the cost environment is worsening.

Core conditions that must be true

- Organic sales sustain 3%-5% with positive volume over a rolling four-quarter period.
- Productivity and pricing offset most FY2027 commodity pressure within 12-18 months.
- Company-wide market share stabilizes or improves, especially in Fabric & Home Care and Baby/Feminine.
- Owner earnings remain above \$14.5 billion and advance toward \$16 billion.
- Buybacks remain disciplined and do not substitute for weak organic growth.

Portfolio verdict for a 10-year retirement horizon: Hold / Watchlist. For a new position, staged purchases around \$138-\$142 offer a better quality/return balance. Below ~\$135 becomes more compelling if the earnings thesis is intact.

Position role

PG is a defensive compounder rather than a high-growth engine. In a portfolio already containing PEP and SCHD, PG should be sized as incremental quality and volatility dampening, not as a major new source of growth. A 1%-2% starter allocation would be more proportionate than a large immediate position if initiated before FY2027 guidance.

2. Business, segments and business model

Founded in Cincinnati in 1837, P&G; has evolved from a soap-and-candle partnership into a focused branded consumer-products company. The current portfolio is concentrated in daily-use products where performance, habit, distribution and trust matter. The company designs, manufactures, markets and distributes through mass merchants, grocery, clubs, pharmacies, e-commerce and direct channels. [1]

FY2025 segment mix

Segment	% sales	% earn.	Key brands	Position
Fabric & Home Care	36%	35%	Tide, Ariel, Downy, Dawn, Cascade, Febreze	#1/#2 positions; >35% fabric care and >30% home care share
Baby, Feminine & Family Care	24%	24%	Pampers, Always, Tampax, Bounty, Charmin	>30% baby/feminine; Bounty >40% and Charmin >25% in North America
Beauty	18%	16%	Head & Shoulders, Pantene, Olay, SK-II, Old Spice	About 20% hair care and personal care; skin care more fragmented
Health Care	14%	15%	Crest, Oral-B, Vicks, Metamucil, Pepto-Bismol	Nearly 30% oral care; leadership in selected personal-health categories
Grooming	8%	10%	Gillette, Venus, Braun	>45% grooming and >60% blades and razors share

Segment percentages exclude Corporate. Market-share data is company-estimated constant-currency dollar share and typically lags the fiscal period by one or two months. [1]

How the model compounds

- Product and packaging innovation supports price/mix and consumer retention.
- Advertising and retail execution convert innovation into awareness, trial and repeat purchase.
- Procurement, manufacturing and overhead productivity fund reinvestment and protect margins.
- Global distribution spreads R&D; and brand investments across a large sales base.

Concentration and geography

Walmart represented approximately 16% of FY2025 sales, and the top ten customers represented 43%. More than half of revenue is generated outside the United States. This creates geographic diversity but also currency, tariff and geopolitical exposure. [1]

3. Moat and competitive landscape

Moat assessment: wide, but category-specific

- Brand and habit: trusted, high-frequency products create repeat purchase and lower consumer experimentation.
- Scale: FY2025 advertising of \$9.2B and R&D; of \$2.1B are difficult for smaller peers to match. [1]
- Distribution: leadership brands matter to retailers, supporting shelf space and joint value creation.
- Innovation: formulation, performance and packaging support premium tiers and price/mix.
- Data and insight: global consumer and retail feedback improve development and marketing efficiency.

Moat vulnerabilities

- Private label can gain when consumers trade down, particularly in less differentiated categories.
- Digital platforms reduce the cost of reaching consumers for niche and local brands.
- Retailer concentration creates negotiating leverage for large customers.
- The moat requires heavy maintenance spending; advertising plus R&D; equaled roughly 13% of FY2025 sales.
- Gillette and SK-II demonstrate that famous brands can still face long cycles of share and valuation pressure.

Competitive map

Competitor	Overlap	PG edge	Competitor edge / risk
Unilever	Beauty, personal, home	U.S. scale; laundry/grooming	Emerging-market reach
Colgate-Palmolive	Oral and personal	Broader retailer relevance	Focused oral-care economics
Kimberly-Clark	Baby and family	Broader portfolio	Tissue/hygiene focus; lower multiple
Church & Dwight	Home and personal	Scale, R&D;, distribution	Niche-brand agility
Private label/local	Most categories	Performance, trust	Price and local relevance

Market-share conclusion: P&G; is a leader in most profit pools, but 2025-2026 share evidence is mixed. FY2025 share rose slightly in Fabric & Home Care while Baby/Feminine/Family declined; nine-month FY2026 share declined modestly in several segments. [1][2]

4. Five-year financial deep dive

Sales compounded about 2.6% from FY2021 to FY2025. GAAP EPS compounded about 4.3%, aided by share repurchases. Owner earnings were durable but uneven as working capital, restructuring and tax payments affected cash conversion.

Income statement and cash generation

Period	Sales \$B	Gross mgn	Op mgn	GAAP EPS	Core EPS	Owner earn. \$B
FY2021	76.1	51.2%	23.6%	\$5.50	\$5.66	15.6
FY2022	80.2	47.4%	22.2%	\$5.81	\$5.81	13.6
FY2023	82.0	47.9%	22.1%	\$5.90	\$5.90	13.8
FY2024	84.0	51.4%	22.1%	\$6.02	\$6.59	16.5
FY2025	84.3	51.2%	24.3%	\$6.51	\$6.83	14.0
TTM 3/2026	86.7	50.3%	23.2%	\$6.84	\$6.84	15.0

Cash flow and returns

Period	CFO \$B	Capex \$B	FCF conv.	ROIC	ROE
FY2021	18.4	2.8	109%	21.9%	30.6%
FY2022	16.7	3.2	92%	21.0%	31.5%
FY2023	16.8	3.1	94%	20.1%	31.2%
FY2024	19.8	3.3	111%	20.1%	30.5%
FY2025	17.8	3.8	88%	21.6%	31.1%
TTM 3/2026	19.4	4.4	90%	20.4%	31.1%

Owner earnings definition: reported cash from operations less total capex because maintenance and growth capex are not separately disclosed. ROIC is NOPAT divided by average debt plus equity less cash. ROE uses attributable net income divided by average equity. FY2024 reported ROIC includes the Gillette impairment. [1][2][4][5][6]

TTM snapshot

- Revenue \$86.7B; operating income \$20.2B; owner earnings \$15.0B.
- Gross margin 50.3%; reported operating margin 23.2%; core operating margin about 23.9%.
- Net debt \$24.7B; net debt / EBITDA about 1.1x; EBIT / interest about 24x.
- Equity FCF yield 4.3%; P / owner earnings 23.5x.

5. Growth drivers and capital allocation

Operating growth drivers

- Premium innovation that improves performance and supports price/mix.
- Distribution of premium tiers and core brands in Enterprise Markets.
- Beauty recovery through Olay, Pantene and eventual stabilization in SK-II/China.
- Digital personalization and retail media that improve demand-creation productivity.
- Portfolio simplification and brand/market exits that raise focus and returns.

Margin and cash drivers

- Supply-chain, reformulation and overhead productivity.
- A \$1.5-\$2.0B two-year restructuring plan, including up to 7,000 non-manufacturing role reductions by FY2027. [1]
- Capex of 4%-5% of sales, supporting capacity, resilience and productivity. [3]
- Gross buybacks that reduce shares, partly offset by employee stock issuance.

Capital allocation scorecard

Priority	Current posture	Assessment
Brand reinvestment	\$9.2B advertising; \$2.1B R&D;	Essential moat maintenance
Capex	4%-5% FY2026 sales	Manageable, but dollars are rising
Dividend	~\$10B; \$1.0885 quarterly	Very safe; likely 3%-5% growth
Buybacks	~\$5B FY2026	Useful only with valuation discipline
M&A;	Limited recent activity	Positive; no acquisition dependency
Debt	~1.1x net debt / EBITDA	Comfortable

Dividend assessment: \$4.354 annualized dividend, 2.87% yield and roughly 63% payout against ~\$6.90 FY2026 core EPS. Cash coverage is sound, but the April 2026 increase was only 3%; faster growth likely needs margin and volume recovery. [7]

6. Valuation and what is priced in

Metric	Current	Interpretation
TTM P/E	22.1x	Premium to slower-growth staples, but below PG's richest levels
FY2026 core P/E	~22.0x	Based on derived ~\$6.90 core EPS
EV / TTM EBITDA	16.3x	Premium defensive valuation
P / owner earnings	23.5x	4.3% FCF yield
Dividend yield	2.87%	Attractive vs broad market, not a bargain for PG
Consensus	Outperform; avg target ~\$163	Modest upside, not an underwrite

At \$151.50, PG trades at about 22.0x a derived FY2026 core EPS estimate of \$6.90. Current vendor consensus implies approximately 21.8x FY2026 and 21.2x FY2027 estimates, while Q4 consensus near \$1.46 suggests full-year EPS near the lower half of management guidance. [9][11]

What is priced in: To earn an 8% five-year annualized return, assuming ~\$23 of cumulative dividends and a 21x terminal P/E, FY2030 EPS must reach roughly \$9.50. That requires 6%-7% annual EPS growth from FY2026 - achievable, but materially above the current run-rate.

Valuation disciplines

Zone	Approx. valuation	Research action
\$148-\$158	21.5x-23x; 2.8%-2.9% yield	Hold / watch; cushion is modest
\$138-\$142	20x-20.6x; ~3.1% yield	More attractive staged add zone
Below ~\$135	<20x; >3.2% yield	Stronger opportunity if thesis intact

These are valuation disciplines, not price targets. Re-anchor after FY2027 guidance.

7. Five-year outlook and scenarios

Management FY2026 guidance: all-in sales +1% to +5%; organic sales flat to +4%; core EPS \$6.83-\$7.09 with results toward the lower end; capex 4%-5% of sales; adjusted FCF productivity 85%-90%; about \$10B dividends and \$5B repurchases. [3]

Street snapshot: Q4 consensus of approximately \$1.46 core EPS and \$22.1B revenue implies roughly \$6.92 full-year core EPS and \$87.9B revenue when added to reported nine-month results. This is derived from a changing consensus, not guidance. [11]

Base-case model

Fiscal year	Revenue \$B	Organic	Core op mgn	Core EPS	Owner earn. \$B
FY2026E	87.9	2.0%	23.6%	\$6.90	15.2
FY2027E	90.0	2.5%	22.9%	\$6.75	14.6
FY2028E	92.9	3.0%	23.4%	\$7.22	15.7
FY2029E	96.2	3.5%	23.8%	\$7.72	16.9
FY2030E	99.6	3.5%	24.0%	\$8.20	18.0

Analyst scenario, not consensus. FY2027 assumes the oil/input-cost headwind is only partly offset by pricing, reformulation, supply-chain work and restructuring. Precision declines beyond FY2027.

FY2030 scenarios

Case	Key assumptions	FY30 rev.	Margin	EPS	Exit P/E	Price	5y div.	Ann. return
Bear	0%-1% organic growth; pricing loses volume; oil/tariffs persist	\$91.5B	21.5%	\$6.20	18x	\$112	\$20.5	-2.7%
Base	2%-4% organic growth; partial cost offsets; modest share stability	\$99.6B	24.0%	\$8.20	21x	\$172	\$22.5	5.1%
Bull	4%+ organic growth; premium innovation wins; productivity restores margins	\$105.0B	25.0%	\$9.70	24x	\$233	\$24.5	11.2%

Decision hinge: Can P&G; protect volume and rebuild gross margin while absorbing oil, tariff and supply-chain costs? The second hinge is whether innovation produces actual market-share gains rather than merely supporting price/mix.

8. Risks, red flags and thesis falsifiers

Risk	Mechanism	Warning sign
Oil / commodities	Resins, packaging, pulp and transport inflate COGS	FY2027 headwind near \$1B after tax with <50% offset
Trade-down	Pricing drives consumers to value tiers/private label	Organic volume negative 2 consecutive quarters
Margin erosion	Productivity consumed by inflation/reinvestment	Core gross margin down two more quarters
Share slippage	Innovation/retail execution underperforms	Value share down >50 bps for 2 quarters
China / Beauty	SK-II and premium beauty stay weak	Beauty organic growth negative
Retailer power	Large customers demand concessions	Concentration up while gross margin falls
Restructuring	Cuts disrupt talent, supply or innovation	Costs exceed plan and savings lag
Valuation	Slow growth/rates compress P/E	Forward P/E resets to 18x-20x

Thesis falsifiers

- Three or more consecutive quarters of negative organic volume without a clearly temporary cause.
- FY2027 core EPS declines by more than 8% without a credible 18-24 month recovery bridge.
- Adjusted FCF productivity remains below 85% for two fiscal years.
- Market share declines across at least three of five segments for a full fiscal year.
- Dividend payout exceeds 75% of normalized owner earnings while debt-funded repurchases continue.

9. Quarterly monitoring dashboard

KPI	What good looks like
Organic sales	3%-5%, with positive low-single-digit organic volume over a rolling four-quarter period
Price / volume	Pricing does not repeatedly create volume contraction; elasticity remains manageable
Core gross margin	Stabilization in FY2027, then year-over-year expansion as productivity offsets inputs
Market share	Stable/improving in Beauty, Fabric & Home Care and Baby/Feminine
Owner earnings	Rolling CFO less capex above \$14.5B and trending to \$16B+
Capital returns	Dividend tracks normalized EPS/FCF; buybacks slow when valuation is excessive
Restructuring	Savings, cash costs and exits track plan without reducing brand investment
Valuation	Reassess after every earnings report; avoid anchoring if the earnings base changes

Research posture: HOLD / WATCHLIST. For a new position, favor staged purchases around \$138-\$142 or wait until FY2027 guidance clarifies the cost bridge. For an existing long-term holding, current evidence supports holding rather than trimming solely because near-term growth is slow.

Evidence confidence

High: reported financials, segment mix, balance sheet, dividend and FY2026 company guidance. Moderate: company-estimated market share and third-party consensus. Scenario-only: FY2027-FY2030 forecasts and valuation returns.

10. Sources, assumptions and conflicts

Important unresolved item: FY2026 year-end results and formal FY2027 guidance have not been reported as of the evidence cutoff. The \$1B FY2027 oil-cost sensitivity is management commentary reported by Reuters and is conditional on commodity prices, supply-chain conditions and mitigation actions.

Primary and market sources

- [1] P&G FY2025 Form 10-K
<https://www.sec.gov/Archives/edgar/data/80424/000008042425000076/pg-20250630.htm>
- [2] P&G FY2026 Q3 Form 10-Q
<https://www.sec.gov/Archives/edgar/data/80424/000008042426000060/pg-20260331.htm>
- [3] P&G FY2026 Q3 earnings release and guidance
<https://www.pginvestor.com/news/news-details/2026/PG-Announces-Fiscal-Year-2026-Third-Quarter-Results/default.aspx>
- [4] P&G FY2023 Form 10-K
<https://www.sec.gov/Archives/edgar/data/80424/000008042423000073/pg-20230630.htm>
- [5] P&G FY2022 Form 10-K
<https://www.sec.gov/Archives/edgar/data/80424/000008042422000064/pg-20220630.htm>
- [6] P&G FY2021 Form 10-K
<https://www.sec.gov/Archives/edgar/data/80424/000008042421000100/pg-20210630.htm>
- [7] P&G April 2026 dividend increase
<https://www.pginvestor.com/news/news-details/2026/PG-Declares-Dividend-Increase-for-April-2026/default.aspx>
- [8] Reuters: P&G FY2027 oil-cost sensitivity
<https://www.reuters.com/business/energy/pg-tops-estimates-beauty-products-demand-flags-hit-higher-input-cost-2026-04-24/>
- [9] MarketScreener PG valuation and analyst consensus
<https://www.marketscreener.com/quote/stock/PROCTER-GAMBLE-COMPANY-4838/finances/>
- [10] Market data snapshot for PG
<https://stockanalysis.com/stocks/pg/market-cap/>
- [11] ChartMill PG earnings consensus snapshot
<https://www.chartmill.com/stock/quote/PG/analyst-ratings>

Methodology and assumptions

- Market price and market capitalization are as of the July 16, 2026 close.
- TTM calculations combine FY2025 with the nine-month FY2026 and FY2025 periods.
- Owner earnings equals CFO less total capex; P&G; does not disclose maintenance capex separately.
- Enterprise value uses market capitalization plus March 2026 debt less cash.
- Scenario returns are nominal, pre-tax and include estimated dividends but exclude trading costs.
- No unsupported point target is issued; valuation zones are conditional disciplines.

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